Paymon Khorrami

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Appointments and Affiliations

Duke Fuqua School of Business
Associate Professor of Finance (without tenure) 2026–present
Assistant Professor of Finance 2022–2026

Imperial College Business School
Assistant Professor of Finance 2019–2022

Affiliate member of the CESifo Network 2019–present
Member of the Finance Theory Group 2024–present
Visiting Scholar at the Federal Reserve Bank of Chicago 2024–present

Education

The University of Chicago
Ph.D. in Financial Economics 2019
Thesis: "The Risk of Risk-Sharing: Diversification and Boom-Bust Cycles"
Committee: Lars Peter Hansen, Zhiguo He, Veronica Guerrieri, Pietro Veronesi

The University of Chicago
B.A., Economics 2009

Publications

"Dynamic Self-Fulfilling Fire Sales" (with Fernando Mendo), *Journal of Finance*, Forthcoming

"Segmentation and Beliefs: A Theory of Self-Fulfilling Idiosyncratic Risk" (with Alexander Zentefis), *Journal of Economic Theory*, 2025

"Comparative Valuation Dynamics in Production Economies" (with Lars Hansen and Fabrice Tourre), *Annual Reviews of Financial Economics*, 2024

"Commonality in Credit Spread Changes: Dealer Inventory and Intermediary Distress" (with Zhiguo He and Zhaogang Song), *The Review of Financial Studies*, 2022

Working Papers

"Rational Sentiments and Financial Frictions" (with Fernando Mendo)
Review of Economic Studies, R&R

"Entry and Slow-Moving Capital: Using Asset Markets to Infer the Costs of Risk Concentration"
Management Science, R&R

"Escaping Uncertainty Traps" (with Fernando Mendo)

"Monetary Shocks and Long-Run Neutrality in Asset Pricing" (with Anna Cieslak)

"A Model-Free Assessment of the Importance of Subjective Beliefs for Asset Pricing"

"Liquidity and Information Acquisition in Large Markets" (with João Thereze)

"Climate Risk, House Prices, and Neighborhood Dynamics" (with Jung Sakong)

"Human Capital in a Time of Low Real Rates" (with Jung Sakong)

"The Risk of Risk-Sharing: Diversification and Boom-Bust Cycles"

Honors and Awards

Best Discussant at CDI 14th Conference on Derivatives	2025
CESifo Distinguished Young Affiliate Award	2019
Cubist Systematic Strategies Research Paper Award	2019
Outstanding Graduate Lecturer for an Economics Topics Course	2018
Bradley Foundation Fellowship	2017
Macro-Financial Modeling Dissertation Fellowship	2016
Stevanovich Center Student Fellowship in Quantitative Finance	2016
Fischer Black Fellowship in Finance	2015-2016
Martin and Margaret Lee Prize in Advanced Financial Economics	2014
CRSP Summer Paper Award	2013
John and Serena Liew Fama-Miller PhD Fellowship	2012
Chicago Booth School of Business Doctoral Fellowship	2012-2016

Presentations

2026 European Winter Finance Summit, Young Scholars Finance Consortium (TAMU), NBER Asset Pricing, Princeton, NBER Summer Institute, Valuation Workshop (OSU), Emory, Baruch College

2025 NC State, UChicago Blue Collar Working Group, OFR Young Scholars, CEPR Household Finance, SFS Cavalcade, Western Finance Association (WFA) x2, Norway CAS Asset Pricing with Heterogeneous Investors closing conference, Conference on Sustainable Banking and Finance (CSBF), European Finance Association (EFA), Michigan Ross, Purdue Daniels

2024 HKUST econ, HKUST finance, ASU Sonoran, Midwest Finance Association (MFA), UChicago Blue Collar Working Group, Macro-Finance Society, Financial Intermediation Research Society (FIRS), European Finance Association (EFA), Yale Juniors Conference, Maryland, Loyola-Chicago, Duke (econ)

2023 Richmond Fed, Johns Hopkins Carey, Boston College, PUC-Rio, SAIF, Southern Economics Association (SEA)

2022 National University Singapore, Duke Fuqua, CESifo Macro-Money-Int'l, Oxford-VU Macro-Finance Conference, HKU, Wisconsin School of Business, University of Chicago (Lars Hansen 70th Birthday Conference)

2021 American Finance Association (AFA), Virtual Junior European Finance seminar, Financial Intermediation Research Society (FIRS), Macro-Finance Society, USC Marshall Brownbag, Yale SOM

2020 London Empirical Asset Pricing, INSEAD, Western Finance Association (WFA), NBER Summer Institute, CESifo Macro-Money-Int'l, Midwest Finance Association (MFA)

2019 Duke Fuqua, Imperial College London, Northwestern Kellogg, UPenn Wharton, UCLA Anderson, Princeton, Western Finance Association (WFA), CESifo Macro-Money-Int'l, UNIL/EPFL/SFI

2018 Platform for Advanced Scientific Computing (PASC), University of Zurich, Young Economists Symposium (YES)

2017 Chicago Initiative in Theory and Empirics (CITE), Macro-Financial Modeling (MFM) Summer Session, Crossing Disciplinary Boundaries (University of Chicago)

2016 Trans-Atlantic Doctoral Conference (TADC)

Discussions

2026 Adam Smith: "Institutional Asset Pricing with Segmentation and Household Heterogeneity"
CESifo Macro-Money-Int'l: "Bank Capital Regulation and Financial Resilience"
WFA: "A Trilemma for Asset Demand Estimation"

2025 MFA: "Extrapolative Investor Demand and Reflexivity in Credit Booms and Busts"
SFS Cavalcade: "Equity Premium Events"
UChicago Yiran Fan: "Welfare Costs and Benefits of Deficit-Financed Fiscal Policy"
WFA: "Creditor-on-Creditor Violence and Secured Debt Dynamics"
WFA: "Demand-Based Expected Returns"
CDI 14th Derivatives Conf: "The Fed and the Wall Street Put"
Macro-Finance Society: "Using asset prices to measure the long-run impact of monetary policy"

2024 Duke/UNC Asset-Pricing: "How Effective are Portfolio Mandates?"
SFS Cavalcade: "Treasury Markets, Inflation and Taxes"
WFA: "Movements in Yields, not the Equity Premium: Bernanke-Kuttner Redux"
WFA: "The Risk Channel of Unconventional Monetary Policy"

2023 UChicago Yiran Fan: "Heterogeneous Impact of the Global Financial Cycle"

2022 SFS Cavalcade: "The Risk-Rent Trade-off"
UNC Junior Roundtable: "Waiting for Capital: Dynamic Intermediation in Illiquid Markets"
Stockholm BI-SHoF Conf: "A Long and a Short Leg Make For a Wobbly Equilibrium"
CICM: "Leasing as a Mitigation Channel of Capital Misallocation"
WFA: "Maturity Increasing Overreaction and Bond Market Puzzles"
USC Juniors: "Cleansing by Tight Credit: Rational Cycles and Endogenous Lending Standards"

2021 UChicago Yiran Fan: "A debt-financed real estate boom with an endogenous credit crunch"
SFS Cavalcade: "Stock Market and No-Dividend Stocks"
Juniors in European Finance: "Bankruptcy Codes and Risk Sharing of Currency Unions"
Juniors in European Finance: "Dealer Networks and the Cost of Immediacy"
CESifo Macro-Money-Int'l: "Financial Cycles under Diagnostic Beliefs"

2020 MFA: "Dissecting Bankruptcy Frictions"
WFA: "Investment Sophistication and Wealth Inequality"
SFS Cavalcade: "Dynamic Equilibrium with Costly Short-Selling and Lending Market"

2019 MFA: "Volatility, Intermediaries, and Exchange Rates"
Adam Smith: "Are Tokens Securities? An Anatomy of Initial Coin Offerings"

2017 MFA: "Dynamic-Agency Based Asset Pricing in a Production Economy"

2016 TADC: "An Analysis of Consumer Debt Restructuring"

Refereeing

American Economic Review, Quarterly Journal of Economics, Review of Economic Studies, Management Science, Journal of Finance, Journal of Financial Economics, Review of Financial Studies, Review of Asset Pricing Studies, Review of Finance, Economic Journal, Financial Management, Journal of Financial Markets, Journal of Empirical Finance, Journal of Banking and Finance, Journal of

Economic Dynamics and Control, Journal of Monetary Economics, Journal of Economic Theory, Economic Letters, Journal of the European Economic Association

Teaching

Derivatives (MBA and MSc), Duke Fuqua	2022–present
Continuous-Time Macro-Finance mini-course, PUC-Rio	2023
Mathematics for Finance (MSc), Imperial College London	2019-2021
Introduction to Finance (undergraduate), University of Chicago	2018
Introduction to Finance (undergraduate), University of Chicago	2015

PhD Advising

*Indicates I was Chair or Co-Chair of Thesis Committee

Hao Pang (PhD 2024, first placement: UT-Dallas Jindal)
Andrew Kane (PhD 2024, first placement: Cornerstone Research)
Rong Wang* (PhD 2026, first placement: Tsinghua SEM)
Jiwook Yoo (PhD 2026, first placement: Bank of America)

Previous Work

Federal Reserve Bank of Chicago, Associate Economist	2010-2012
Grosvenor Capital Management, Associate	2009-2010